



There is a crossover in early November. The ADX is greater than 25 and therefore we can treat these as a signal. There was a bullish crossover and in hindsight, this would have made us good profits. The second phase takes place in late December when we come across a lot of continuous crossovers. We might have entered the trade and incurred a loss. But, ADX levels would have made sure that we do not repeatedly take trades for each crossover as ADX dipped significantly. Lastly, we see there is a bearish crossover. This would have been a perfect short signal. However, we see that the ADX levels are less than 25. As a result, we will not enter this trade as this might again be a false move as the directional movement has no strength in it. A beginner is strictly advised to look for such patterns in multiple other charts to understand these better. Let us now move to the next indicator.